

contrast, in an ETF (Exchange Traded Fund), the fee is approximately 0.1 per cent.

Most investors tend to focus on gross returns alone and, as a result, they chase the best performing mutual fund. In doing so they forget that performance is not guaranteed—it can go up and down. But the expenses are bound to be charged. Apart from death and taxes, you can now add expenses as the only certainties in life! Given the effect of these expenses over long periods of time, they often become the single biggest driver of returns, especially in a world where fund managers with broadly similar capabilities (and similar access to information) are slugging it out daily in the stock market.

Past, present and future

Like all other industries, the portfolio management industry has also evolved over the past hundred years. The industry grew rapidly in the US in the early part of the twentieth century and in India in the 1990s. In that pioneering era, excellence did not matter. Almost all fund managers outperformed the index in those days. However, with rising competition and greater regulatory oversight, first in developed markets and now in India over the last ten years, it has become much harder for Indian mutual fund managers to generate outperformance. This squeezed the profit margins for the mutual funds and for their distributors.⁴ That, in turn, brought modern technology to the forefront as enterprising fund houses started using algorithms to run funds at very low costs.

We cover this transformation in the industry through three central themes:

1. The ‘Alpha Squeeze’ in actively managed funds,
2. The introduction of inexpensive fund options and direct schemes in mutual funds, and
3. The advisory-led offering versus the distribution-led offering.

But first, a little bit of history.